

SAUDI ARABIA

While growth remains robust, the Middle East conflict is introducing heightened economic risks for Saudi Arabia, potentially slowing progress towards its Vision 2030. Elevated uncertainty may weigh on recent growth momentum supported by oil and non-oil sectors. Before the conflict, inflation was contained and unemployment declined, though fiscal pressures intensified. Risks stem from oil supply disruptions, Strait of Hormuz exports, and threats to critical infrastructure.

Key conditions and challenges

Saudi Arabia's economic outlook is influenced by the recent escalation of the conflict in the Middle East. The primary transmission channel is the oil sector, where heightened regional tensions raise the risk of supply disruptions, including potential impacts linked to the Strait of Hormuz and energy infrastructure. While higher global oil prices may provide temporary revenue gains, uncertainty over production and exports could affect fiscal and external balances. In this context, the outlook remains particularly sensitive to the duration and intensity of regional tensions and their spillover effects on global energy markets.

Beyond hydrocarbons, prolonged conflict could weigh on non-oil activity by dampening investor confidence, disrupting trade, and affecting foreign direct investment (FDI). Security considerations pose risks to the retention and attraction of skilled expatriate labor, and to the growing tourism sector. In the event of sustained regional instability, Saudi Arabia's diversification momentum may potentially slow, financing costs could rise, and aspects of 'Vision 2030' may be affected.

Population ¹ million	Poverty
35.9	..
Life expectancy at birth ² years	School enrollment ³ primary (% gross)
78.7	104.0
GDP ⁴ current US\$, billion	GDP per capita ⁵ current US\$
1234.5	34369.7

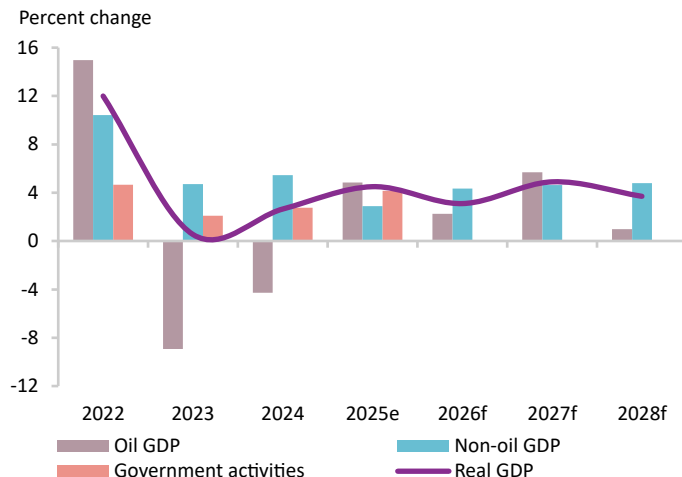
Sources: WDI, MFM, and official data. 1/ 2025. 2/ 2023. 3/ 2024. 4/ 2025. 5/ 2025.

Recent developments

Economic indicators were encouraging before the conflict. Real GDP growth reached 4.5 percent in 2025, compared to 2.6 percent in 2024, driven by non-oil and oil activities. The phasing-out of the Organization of the Petroleum Exporting Countries and its partners' voluntary production cuts from April 2025 onward contributed to an estimated 4.9 percent production increase in 2025. In Q1–Q3 2025, non-oil growth was driven by wholesale and retail trade, restaurants and hotels (+6.5 percent y/y) and finance, insurance, real estate and business services (+5.5 percent).

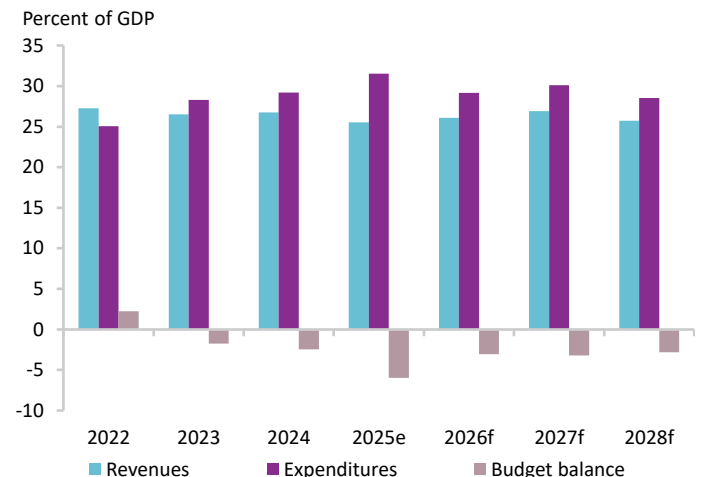
Fiscal pressures increased in 2025, with the central government deficit settling at an estimated 6 percent of GDP, up from 2.5 percent in 2024. Revenues decreased by 11.7 percent, while expenditure remained relatively stable (+1 percent). Falling revenue reflected a 19.8 percent decline in oil revenue relative to 2024 due to lower oil prices. To finance infrastructure projects, the government borrowed from international bond markets, raising the debt-to-GDP ratio from 25.9 percent in 2024 to 33.0 percent in 2025.

FIGURE 1 / Annual real GDP growth



Sources: GASTAT Saudi Arabia and World Bank.

FIGURE 2 / Central government operations



Sources: GASTAT Saudi Arabia and World Bank.

Inflation remained low, averaging 2 percent in 2025, mainly driven by rentals (8.2 percent y/y), with more modest contributions from personal care, social protection, and miscellaneous goods and services (5.1 percent increase y/y) and insurance and financial services (6.3 percent increase y/y), while prices remained contained for food and beverages (1.1 percent). Price increases in the housing sector and concerns over affordability prompted the government to freeze rents in Riyadh for five years.

Saudi Arabia's external sector position weakened in Q1–Q3 2025 relative to the same period in 2024. The current account deficit reached 2.6 percent of GDP, up from 0.4 percent in 2024 during the first three quarters (1.3 percent for whole year). The trade surplus weakened slightly from 3.3 percent of GDP to 1.7 percent in 2025. While imports were up by 1.5 percentage points of GDP, oil exports decreased by 1.5 percentage points and non-oil exports increased by 1.3 percentage points. The financial account balance was responsible for the rest of the external position weakening in Q1–Q3, deteriorating from -1.2 percent of GDP to -3.3 percent because of the balance of portfolio investments.

Total unemployment decreased, reaching 3.4 percent in Q3-2025 against 3.7 percent in Q3-2024, with differing dynamics for female unemployment (-1.5 percentage point) and male unemployment (+0.2 percentage point). Saudi unemployment rates, however, remain higher than those of non-Saudi workers (7.5 percent vs 1.4 percent in Q3-2025). Stalling labor force participation, especially among Saudi and non-Saudi women, remains a structural constraint to diversification efforts.

Outlook

The escalation of the conflict in the Middle East introduces a degree of uncertainty to Saudi Arabia's economic prospects. The economy is projected to grow at 3.1 percent in 2026, supported by both oil and non-oil sectors, though further conflict escalation could add downside risks. Absent a protracted conflict, growth is expected to average 4.3 percent in 2027–2028. Non-oil sectors are projected to expand steadily (4.3 percent in 2026 and 4.7 percent in 2027–2028), while the service sector is expected to grow 4.0 percent in 2026 and an average of 4.5 percent in 2027–2028.

The current account balance is projected to remain in deficit in the medium run, averaging -2.1 percent of GDP in 2027–2028. In 2026, however, a surplus of 3.3 percent of GDP is expected, reflecting significantly higher global oil prices, at least in the near term. Over the medium term, the current account balance might worsen contingent on any potential oil supply disruptions, higher energy and freight import costs, and softer tourism inflows. The capital account may also experience some volatility, as international investors reassess the Kingdom's risk profile, with possible implications for FDI outcomes.

Fiscal pressure predates the conflict; however, defense-related expenses in a context of heightened regional tensions could exert additional pressure, and thus potentially delaying some initiatives under Vision 2030. Absent these additional risks, the general government deficit is projected to stabilize after widening to 6 percent of GDP in 2025, averaging 3.0 percent of GDP in 2026–2028.

Recent history and projections

	2023	2024	2025e	2026f	2027f	2028f
Real GDP growth, at constant market prices	0.5	2.6	4.5	3.1	4.9	3.7
Private consumption	7.6	3.8	1.7	3.2	3.7	3.8
Government consumption	5.5	3.1	3.7	3.5	4.0	3.0
Gross fixed capital investment	9.4	10.1	-2.2	3.9	4.4	4.3
Exports, goods and services	-5.6	2.5	3.1	5.1	7.4	4.3
Imports, goods and services	15.1	7.4	-1.7	5.2	5.1	5.0
Real GDP growth, at constant factor prices	0.2	2.5	3.4	3.8	4.9	3.7
Agriculture	4.6	5.1	2.0	2.0	2.0	2.0
Industry	-3.5	-0.3	3.5	3.6	5.6	2.9
Services	4.3	5.5	3.4	4.0	4.4	4.6
Employment rate (% of working-age population, 15 years+)	63.9	64.0	60.3	60.3	60.3	60.3
Inflation (consumer price index)	2.3	1.6	2.0	2.8	2.6	2.0
Current account balance (% of GDP)	2.1	-1.3	-2.7	3.3	-2.2	-2.1
Net foreign direct investment inflow (% of GDP)	1.9	1.7	1.7	1.5	1.9	2.0
Fiscal balance (% of GDP)	-1.8	-2.5	-6.0	-3.0	-3.2	-2.8
Revenues (% of GDP)	26.5	26.8	25.5	25.3	26.9	25.7
Debt (% of GDP)	23.0	25.9	33.0	32.4	34.9	35.2
Primary balance (% of GDP)	-0.9	-1.7	-5.2	-2.2	-2.2	-1.7
GHG emissions growth (mtCO2e)	4.8	1.8	-0.3	1.3	2.7	2.1

Source: World Bank, Fiscal Policy & Growth Department. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast. Data in annual percent change unless indicated otherwise.